

IN THE HOUSE OF REPRESENTATIVES

HOUSE BILL NO. 884

BY REVENUE AND TAXATION COMMITTEE

AN ACT

RELATING TO NICOTINE PRODUCTS; AMENDING THE HEADING FOR CHAPTER 57, TITLE 39, IDAHO CODE; AMENDING SECTION 39-5702, IDAHO CODE, TO DEFINE TERMS AND TO REVISE A DEFINITION; AMENDING SECTION 39-5703, IDAHO CODE, TO REVISE PROVISIONS REGARDING POSSESSION, DISTRIBUTION, OR USE BY A MINOR; AMENDING SECTION 39-5704, IDAHO CODE, TO PROVIDE FOR CERTAIN PERMITTING AND TO PROVIDE PENALTIES; AMENDING CHAPTER 57, TITLE 39, IDAHO CODE, BY THE ADDITION OF A NEW SECTION 39-5704A, IDAHO CODE, TO ESTABLISH PROVISIONS REGARDING SALES BETWEEN PERMITTED PERSONS OR ENTITIES ONLY; AMENDING CHAPTER 57, TITLE 39, IDAHO CODE, BY THE ADDITION OF A NEW SECTION 39-5704B, IDAHO CODE, TO ESTABLISH PROVISIONS REGARDING THE PERMITS REQUIRED FOR MANUFACTURERS OF ALTERNATIVE NICOTINE PRODUCTS, TOBACCO PRODUCTS, AND ELECTRONIC SMOKING DEVICES; AMENDING CHAPTER 57, TITLE 39, IDAHO CODE, BY THE ADDITION OF A NEW SECTION 39-5704C, IDAHO CODE, TO ESTABLISH PROVISIONS REGARDING AGENTS FOR SERVICE OF PROCESS; AMENDING CHAPTER 57, TITLE 39, IDAHO CODE, BY THE ADDITION OF A NEW SECTION 39-5704D, IDAHO CODE, TO ESTABLISH PROVISIONS REGARDING THE BOND REQUIREMENT FOR NONRESIDENT OR FOREIGN MANUFACTURERS OF ELECTRONIC SMOKING DEVICES; AMENDING CHAPTER 57, TITLE 39, IDAHO CODE, BY THE ADDITION OF A NEW SECTION 39-5704E, IDAHO CODE, TO ESTABLISH PROVISIONS REGARDING CERTAIN PENALTIES; AMENDING SECTION 39-5705, IDAHO CODE, TO PROHIBIT THE SALE OF ALTERNATIVE NICOTINE PRODUCTS TO MINORS; AMENDING SECTION 39-5706, IDAHO CODE, TO PROVIDE THAT ALTERNATIVE NICOTINE PRODUCTS MAY BE SOLD ONLY THROUGH VENDOR-ASSISTED SALES; AMENDING SECTION 39-5707, IDAHO CODE, TO REVISE PROVISIONS REGARDING OPENED PACKAGES AND SAMPLES; AMENDING SECTION 39-5708, IDAHO CODE, TO REVISE PROVISIONS REGARDING CERTAIN CIVIL PENALTIES FOR VIOLATIONS OF A PERMIT; AMENDING SECTION 39-5709, IDAHO CODE, TO REVISE PROVISIONS REGARDING CERTAIN CRIMINAL PENALTIES FOR VIOLATIONS WITHOUT A PERMIT; AMENDING SECTION 39-5710, IDAHO CODE, TO REVISE PROVISIONS REGARDING THE CONDUCT OF CERTAIN ENFORCEMENT ACTIONS; AMENDING SECTION 39-5711, IDAHO CODE, TO REVISE PROVISIONS REGARDING FUNDING; AMENDING SECTION 39-5713, IDAHO CODE, TO REVISE PROVISIONS REGARDING LOCAL ORDINANCES; AMENDING SECTION 39-5714, IDAHO CODE, TO REVISE PROVISIONS REGARDING REQUIREMENTS FOR DELIVERY SALES; AMENDING SECTION 39-5715, IDAHO CODE, TO REVISE PROVISIONS REGARDING AGE VERIFICATION REQUIREMENTS; AMENDING SECTION 39-5717, IDAHO CODE, TO REVISE PROVISIONS REGARDING SHIPPING REQUIREMENTS; AMENDING SECTION 39-5718, IDAHO CODE, TO REVISE PROVISIONS REGARDING REGISTRATION AND REPORTING REQUIREMENTS; AMENDING SECTION 39-8421, IDAHO CODE, TO PROVIDE A CORRECT CODE REFERENCE; AMENDING SECTION 56-227F, IDAHO CODE, TO PROVIDE A CORRECT CODE REFERENCE; AMENDING THE HEADING FOR CHAPTER 25, TITLE 63, IDAHO CODE; AMENDING SECTION 63-2551, IDAHO CODE, TO REVISE DEFINITIONS AND TO DEFINE TERMS; AMENDING SECTION 63-2552B, IDAHO CODE, TO REVISE PROVISIONS REGARDING USE TAXES; AMENDING CHAPTER 25, TITLE 63, IDAHO CODE,

BY THE ADDITION OF A NEW SECTION 63-2552C, IDAHO CODE, TO PROVIDE FOR A TAX ON THE SALE OF ALTERNATIVE NICOTINE PRODUCTS AND VAPOR PRODUCTS AND TO PROVIDE FOR THE DISTRIBUTION CERTAIN REVENUE; AMENDING SECTION 63-2553, IDAHO CODE, TO REVISE LEGISLATIVE INTENT; AMENDING SECTION 63-2554, IDAHO CODE, TO REVISE PROVISIONS REGARDING PERMITS REQUIRED; AMENDING SECTION 63-2555, IDAHO CODE, TO REVISE PROVISIONS REGARDING BOOKS AND RECORDS TO BE PRESERVED AND ENTRY AND INSPECTION BY THE STATE TAX COMMISSION; AMENDING SECTION 63-2556, IDAHO CODE, TO REVISE PROVISIONS REGARDING THE PRESERVATION OF INVOICES OF SALES; AMENDING SECTION 63-2557, IDAHO CODE, TO REVISE A PROVISION REGARDING INVOICES; AMENDING SECTION 63-2558, IDAHO CODE, TO REVISE PROVISIONS REGARDING RECORDS; AMENDING SECTION 63-2559, IDAHO CODE, TO REVISE PROVISIONS REGARDING WHEN CREDIT MAY BE OBTAINED FOR TAX PAID; AMENDING SECTION 63-2563, IDAHO CODE, TO REVISE PROVISIONS REGARDING COLLECTION AND ENFORCEMENT; AMENDING SECTION 63-2565, IDAHO CODE, TO REVISE A PROVISION REGARDING REFUNDS; AND DECLARING AN EMERGENCY AND PROVIDING AN EFFECTIVE DATE.

Be It Enacted by the Legislature of the State of Idaho:

SECTION 1. That the Heading for Chapter 57, Title 39, Idaho Code, be, and the same is hereby amended to read as follows:

CHAPTER 57

PREVENTION OF MINORS' ACCESS TO ALTERNATIVE NICOTINE PRODUCTS, TOBACCO PRODUCTS, OR ELECTRONIC SMOKING DEVICES

SECTION 2. That Section 39-5702, Idaho Code, be, and the same is hereby amended to read as follows:

39-5702. DEFINITIONS. The terms used in this chapter are defined as follows:

(1) "Alternative nicotine product" means a noncombustible product that contains nicotine or a nicotine analog, whether natural or synthetic, but does not contain tobacco and is intended for human consumption, whether chewed, absorbed, dissolved, ingested, or by other means. This term shall not include a vapor product, tobacco product, or any product regulated by the United States food and drug administration under chapter V of the federal food, drug, and cosmetic act.

~~(1)~~ (2) "Business" means any company, partnership, firm, sole proprietorship, association, corporation, organization, or other legal entity, or a representative of the foregoing entities.

~~(2)~~ (3) "Delivery sale" means to distribute tobacco products or electronic smoking devices to a consumer in a state where either:

(a) The individual submits the order for such sale by means of a telephonic or other method of voice transmission, data transfer via computer networks, including the internet and other online services, or facsimile, or the mails; or

(b) The tobacco products or electronic smoking devices are delivered by use of the mails or a delivery service.

~~(3)~~ (4) "Delivery service" means any person who is engaged in the commercial delivery of letters, packages or other containers.

1 ~~(4)~~ (5) "Department" means the state department of health and welfare
2 or its duly authorized representative.

3 ~~(5)~~ (6) "Distribute" means to give, deliver, sell, offer to give, offer
4 to deliver, offer to sell or cause any person to do the same or hire any person
5 to do the same.

6 (7) "Distributor" means:

7 (a) Any person engaged in the business of selling alternative nicotine
8 products, tobacco products, or electronic smoking devices in this state
9 who brings, or causes to be brought, into this state from outside the
10 state any such products for sale;

11 (b) Any person who makes, manufactures, or fabricates alternative
12 nicotine products, tobacco products, or electronic smoking devices in
13 this state for sale in this state; and

14 (c) Any person engaged in the business of selling alternative nicotine
15 products, tobacco products, or electronic smoking devices outside this
16 state who ships or transports such products to retailers in this state
17 to be sold by those retailers.

18 (8) "Electronic smoking device" means any nonlighted, noncombustible
19 product that employs a mechanical heating element, battery, or electronic
20 circuit regardless of shape or size and that can be used to produce vapor
21 from nicotine or a nicotine analog, however derived, in a solution. The term
22 includes any vapor cartridge or other container of nicotine in a solution or
23 other form that is intended to be used with or in an electronic cigarette,
24 electronic cigar, electronic cigarillo, electronic pipe, or similar product
25 or device. The term does not include any product regulated by the United
26 States food and drug administration under chapter V of the federal food,
27 drug, and cosmetic act.

28 ~~(6)~~ (9) "Location" means the street address where tobacco or electronic
29 smoking device products are sold or the uniform resource locator for retail-
30 ers who sell tobacco or electronic smoking products exclusively via the in-
31 ternet.

32 (10) "Manufacturer" means a person who manufactures and sells alterna-
33 tive nicotine products, tobacco products, or electronic smoking devices.

34 ~~(7)~~ (11) "Minor" means a person under twenty-one (21) years of age.

35 ~~(8)~~ (12) "Minor-exempt permit" means a permittee location whose rev-
36 enues from the sale of alcoholic beverages for on-site consumption comprises
37 at least fifty-five percent (55%) of total revenues, or whose products and
38 services are primarily obscene, pornographic, profane, or sexually ori-
39 ented, is exempt from inspections assisted by a minor, if minors are not
40 allowed in the location and such prohibition is posted clearly on all en-
41 trance doors.

42 (13) (a) "Nicotine analog" means a substance:

43 (i) The chemical structure of which is substantially similar to
44 the chemical structure of nicotine; or

45 (ii) That has, purports to have, or is represented to have, an ef-
46 fect on the central nervous system that is similar to or greater
47 than the effect on the central nervous system as nicotine.

48 (b) Factors relevant to determining whether a substance is a nicotine
49 analog include but are not limited to the marketing, advertising, and
50 labeling of the substance and whether the substance has been manufac-

1 tured, formulated, sold, distributed, or marketed with the intent to
 2 avoid the provisions of this chapter and other provisions of law.

3 ~~(9)~~ (14) "Permit" means a permit issued by the department for the sale or
 4 distribution of tobacco products or electronic smoking devices.

5 ~~(10)~~ (15) "Permit endorsement" means a sale or delivery method used by
 6 the permittee to sell tobacco or electronic smoking device products, includ-
 7 ing delivery sales, delivery service, and direct sales.

8 ~~(11)~~ (16) "Permittee" means the holder of a valid permit for the sale or
 9 distribution of tobacco products or electronic smoking devices.

10 ~~(12)~~ (17) "Photographic identification" means state, district, terri-
 11 torial, possession, provincial, national or other equivalent government
 12 driver's license, identification card or military card, in all cases bearing
 13 a photograph and a date of birth, or a valid passport.

14 ~~(13)~~ (18) "Random, unannounced inspection" means an inspection of re-
 15 tail outlets by a law enforcement agency or by the department, with or with-
 16 out the assistance of a minor, to monitor compliance of this chapter.

17 (19) "Retailer" means any person engaged in the business of selling
 18 alternative nicotine products, tobacco products, or electronic smoking de-
 19 vices to ultimate consumers.

20 ~~(14)~~ (20) "Seller" means the person who physically sells or distributes
 21 tobacco products or electronic smoking devices.

22 ~~(15)~~ (21) (a) "Tobacco product ~~or electronic smoking device~~" means:

23 (i) Any substance containing, made of, or derived from tobacco
 24 or nicotine that is intended for human consumption or is likely to
 25 be consumed, whether inhaled, absorbed, or ingested by any other
 26 means, including but not limited to cigarettes, cigars, pipes,
 27 snuff, smoking or chewing tobacco, snus, tobacco papers, or smoke-
 28 less tobacco; or

29 ~~(ii) Any electronic smoking device that may be used to deliver an~~
 30 ~~aerosolized or a vaporized substance to the person inhaling from~~
 31 ~~the device, including but not limited to an electronic cigarette,~~
 32 ~~an electronic cigar, an electronic pipe, a vape pen, or an elec-~~
 33 ~~tronic hookah, or any component, part, or accessory of such a~~
 34 ~~device, or any substance intended to be aerosolized or vaporized~~
 35 ~~during use of the device, whether or not the substance contains~~
 36 ~~nicotine, or any heated or lighted device intended to be used for~~
 37 ~~inhalation; or~~

38 ~~(iii) (ii) Any components, parts, or accessories of a tobacco~~
 39 ~~product or an electronic smoking device, whether or not they con-~~
 40 ~~tain tobacco or nicotine, including but not limited to filters,~~
 41 ~~rolling papers, blunt or hemp wraps, and pipes, whether manufac-~~
 42 ~~tured, distributed, marketed, or sold as an electronic cigarette,~~
 43 ~~electronic cigar, electronic hookah, or vape pen, or under any~~
 44 ~~other product name or descriptor.~~

45 (b) The term "tobacco product ~~or electronic smoking device~~" does not
 46 include alternative nicotine products or drugs, devices, or combina-
 47 tions of products authorized for sale by the United States food and drug
 48 administration as those terms are defined in the federal food, drug, and
 49 cosmetic act.

1 ~~(16)~~ (22) "Vending machine" means any mechanical, electronic, or other
 2 similar device that, upon the insertion of tokens, money or any other form of
 3 payment, dispenses tobacco products or electronic smoking devices.

4 ~~(17)~~ (23) "Vendor-assisted sales" means any sale or distribution in
 5 which the customer has no access to the product except through the assistance
 6 of the seller.

7 ~~(18)~~ (24) "Without a permit" means a business that has failed to obtain a
 8 permit or a business whose permit is suspended or revoked.

9 SECTION 3. That Section 39-5703, Idaho Code, be, and the same is hereby
 10 amended to read as follows:

11 39-5703. POSSESSION, DISTRIBUTION, OR USE BY A MINOR. (1) It shall
 12 be unlawful for a minor to possess, receive, purchase, use, or consume
 13 alternative nicotine products, tobacco products, or electronic smoking de-
 14 vices or to attempt any of the foregoing.

15 (2) It shall be unlawful for a minor to sell or distribute alternative
 16 nicotine products, tobacco products, or electronic smoking devices or to at-
 17 tempt either of the foregoing.

18 (3) It shall be unlawful for a minor to provide false identification
 19 or make any false statement regarding their age in an attempt to obtain
 20 alternative nicotine products, tobacco products, or electronic smoking de-
 21 vices.

22 (4) A minor who is assisting with a random unannounced inspection in ac-
 23 cordance with this chapter shall not be in violation of this chapter.

24 (5) A minor may possess but not sell or distribute alternative nico-
 25 tine products, tobacco products, or electronic smoking devices in the course
 26 of employment, for duties such as stocking shelves or carrying purchases to
 27 customers' vehicles.

28 (6) Penalties for violations by a minor. A violation of subsection (1)
 29 of this section by a minor shall constitute an infraction and shall be pun-
 30 ishable by a fine of seventeen dollars and fifty cents (\$17.50). The first
 31 violation of subsection (2) or (3) of this section by a minor shall consti-
 32 tute an infraction and shall be punishable by a fine of two hundred dollars
 33 (\$200). A subsequent violation of subsection (2) or (3) of this section by a
 34 minor ~~shall constitute a misdemeanor and shall be punishable by imprisonment~~
 35 ~~in an appropriate facility not exceeding thirty (30) days, a fine not exceed-~~
 36 ~~ing three hundred dollars (\$300), or both such fine and imprisonment.~~ The
 37 court may, in addition to the penalties provided in this section, require the
 38 minor and, if the minor is under eighteen (18) years of age, the minor's par-
 39 ents or legal guardian to attend alternative nicotine product, tobacco prod-
 40 uct, or and electronic smoking device awareness programs or to perform com-
 41 munity service in programs related to alternative nicotine product, tobacco
 42 product, or and electronic smoking device awareness.

43 SECTION 4. That Section 39-5704, Idaho Code, be, and the same is hereby
 44 amended to read as follows:

45 39-5704. PERMITTING OF ALTERNATIVE NICOTINE PRODUCTS, TOBACCO PROD-
 46 UCTS, OR AND ELECTRONIC SMOKING DEVICES RETAILERS. (1) It shall be unlawful
 47 to sell or distribute or offer alternative nicotine products, tobacco prod-

ucts, or electronic smoking devices for sale or distribution at retail or to possess alternative nicotine products, tobacco products, or electronic smoking devices with the intention of selling at retail without having first obtained a ~~tobacco product or electronic smoking device~~ permit from the department, which shall be the only retail alternative nicotine products, tobacco product, or electronic smoking device permit or license required. Provided however, this section shall not be deemed to require a wholesaler or manufacturer's representative or employees who, in the course of their employment, stock shelves and replenish alternative nicotine products, tobacco products, or electronic smoking devices at a permittee's place of business to obtain a permit.

(2) The department shall administer the permitting of alternative nicotine product, tobacco product, or electronic smoking device retailers and shall be authorized to ensure compliance with this chapter.

(3) Permits shall be issued annually for each permanent business location to ensure compliance with the requirements of this chapter. A copy of signage required by this chapter, and any other materials deemed necessary shall be provided with each permit issued.

(4) A separate permit must be obtained for each place of business and is nontransferable to another person, business, or location.

(5) The applicant shall select one (1) or more permit endorsements and make the permit available upon request.

(6) A permittee may display a sign in each location within a place of business where alternative nicotine products, tobacco products, or electronic smoking devices are sold or distributed. A sign may be clearly visible to the customer and the seller and shall state: "STATE LAW PROHIBITS THE SALE OF ALTERNATIVE NICOTINE PRODUCTS, TOBACCO PRODUCTS, OR ELECTRONIC SMOKING DEVICES TO PERSONS UNDER THE AGE OF TWENTY-ONE (21) YEARS. PROOF OF AGE REQUIRED. ANYONE WHO SELLS OR DISTRIBUTES ALTERNATIVE NICOTINE PRODUCTS, TOBACCO PRODUCTS, OR ELECTRONIC SMOKING DEVICES TO A PERSON UNDER THE AGE OF TWENTY-ONE (21) YEARS IS SUBJECT TO STRICT FINES AND PENALTIES. PERSONS UNDER THE AGE OF TWENTY-ONE (21) YEARS ARE SUBJECT TO FINES AND PENALTIES."

(7) Permittees are responsible to educate employees as to the requirements of this chapter and retain forms signed by each employee stating that the employee understands such requirements.

(8) It shall be unlawful for the permittee to allow employees who are minors to sell or distribute alternative nicotine products, tobacco products, or electronic smoking devices, except as provided in this subsection. Employees who are minors may possess but not sell or distribute alternative nicotine products, tobacco products, or electronic smoking devices in the course of employment, for such duties as stocking shelves or carrying purchases to customers' vehicles, and employees who are eighteen (18) years to twenty (20) years of age may sell or distribute alternative nicotine products, tobacco products, or electronic smoking devices in the course and scope of their employment.

(9) A permit shall be closed when the permittee closes the business, no longer sells alternative nicotine products, tobacco products, or electronic smoking ~~device products~~ devices, moves to a different physical location, or sells the business.

1 (10) A permit shall be revoked when it is determined that a permit was
2 fraudulently obtained to avoid penalties on an existing permit.

3 (11) All permits expire annually at midnight on December 31 unless re-
4 newed. The department shall mail notice of renewal for permits at least
5 ninety (90) days prior to expiration.

6 (12) The department may deny an application and refuse to issue or renew
7 a permit or may suspend or revoke a permit issued to any person, partnership,
8 corporation, limited liability company, or business trust upon determining
9 that the licensee or the principals or managers at the permitted location of
10 the applicant or permittee have been:

11 (a) Found guilty of any fraud or misrepresentation in connection with
12 an application filed pursuant to this section;

13 (b) Convicted of robbery, extortion, burglary, larceny, embezzlement,
14 fraudulent conversion, gambling, perjury, bribery, treason, tax eva-
15 sion, or racketeering; or

16 (c) Convicted of a felony within the last five (5) years.

17 (13) The department may deny an application and refuse to issue or renew
18 a permit if there is a reasonable basis to determine the application is filed
19 by a person as subterfuge for a different party of interest whose permit has
20 previously been denied, canceled, or revoked for cause or a violation under
21 this chapter.

22 SECTION 5. That Chapter 57, Title 39, Idaho Code, be, and the same is
23 hereby amended by the addition thereto of a NEW SECTION, to be known and des-
24 ignated as Section 39-5704A, Idaho Code, and to read as follows:

25 39-5704A. SALES BETWEEN PERMITTED PERSONS OR ENTITIES ONLY. (1) Dis-
26 tributors and retailers shall purchase alternative nicotine products, to-
27 bacco products, and electronic smoking devices only from a manufacturer or
28 distributor who has obtained a permit under chapter 25, title 63, Idaho Code,
29 and shall verify that such seller holds a valid permit before making a pur-
30 chase.

31 (2) Manufacturers and distributors shall sell alternative nicotine
32 products, tobacco products, and electronic smoking devices only to a dis-
33 tributor or retailer who has obtained a permit under this chapter or chapter
34 25, title 63, Idaho Code, and shall verify that the purchaser holds a valid
35 permit before making a sale.

36 SECTION 6. That Chapter 57, Title 39, Idaho Code, be, and the same is
37 hereby amended by the addition thereto of a NEW SECTION, to be known and des-
38 ignated as Section 39-5704B, Idaho Code, and to read as follows:

39 39-5704B. PERMITTING OF MANUFACTURERS OF ALTERNATIVE NICOTINE PROD-
40 UCTS, TOBACCO PRODUCTS, AND ELECTRONIC SMOKING DEVICES. (1) Every manufac-
41 turer of alternative nicotine products, tobacco products, and electronic
42 smoking devices that are sold in this state, whether directly or through a
43 distributor, retailer, or similar intermediary shall obtain from the de-
44 partment a manufacturer permit. A manufacturer of alternative nicotine
45 products, tobacco products, or electronic smoking devices that already
46 holds a wholesaler or distributor permit shall also separately obtain a man-
47 ufacturer permit. The permit is nontransferable.

1 (2) Each application for a manufacturer permit shall be accompanied by
2 such information as the department may require for the purpose of adminis-
3 tering this chapter, and by a one-time fee of fifty dollars (\$50.00).

4 (3) A person or entity that obtains a permit under this chapter has es-
5 tablished minimum contacts with the state and consents to the exercise of
6 personal jurisdiction over the person or entity in the courts of this state
7 in any matter or issue arising under this chapter or related to the sale or
8 distribution of alternative nicotine products, tobacco products, and elec-
9 tronic smoking devices.

10 (4) The department shall maintain a website that identifies all per-
11 mitted entities, including information regarding permits that have been re-
12 voked or suspended.

13 SECTION 7. That Chapter 57, Title 39, Idaho Code, be, and the same is
14 hereby amended by the addition thereto of a NEW SECTION, to be known and des-
15 ignated as Section 39-5704C, Idaho Code, and to read as follows:

16 39-5704C. AGENT FOR SERVICE OF PROCESS. (1) Any nonresident or foreign
17 manufacturer of electronic smoking devices that has not registered to do
18 business in this state as a foreign corporation or business entity shall,
19 as a condition to receiving an electronic smoking device permit under this
20 chapter, appoint and continually engage without interruption the services
21 of an agent in this state to act as agent for the service of process on whom
22 all process, and any action or proceeding against such manufacturer con-
23 cerning or arising out of the enforcement of this chapter, may be served in
24 any manner authorized by law. Such service shall constitute legal and valid
25 service of process on the manufacturer. The manufacturer shall provide the
26 name, address, telephone number, and proof of the appointment and availabil-
27 ity of such agent to the department.

28 (2) The electronic smoking device manufacturer shall provide notice to
29 the department thirty (30) calendar days prior to termination of the author-
30 ity of an agent and shall further provide proof to the satisfaction of the
31 department of the appointment of a new agent no less than five (5) calendar
32 days prior to the termination of an existing agent appointment. In the event
33 an agent terminates an agency appointment, the manufacturer shall notify the
34 department of the termination within five (5) calendar days and shall in-
35 clude proof to the satisfaction of the department of the appointment of a new
36 agent.

37 (3) Any electronic smoking device manufacturer whose products are
38 sold in this state without appointing or designating an agent as required
39 in this section shall be deemed to have appointed the secretary of state as
40 such agent and may be proceeded against in courts of this state by service of
41 process upon the secretary of state; however, the appointment of the secre-
42 tary of state as such agent shall not satisfy the condition for obtaining an
43 electronic smoking device manufacturer permit.

44 SECTION 8. That Chapter 57, Title 39, Idaho Code, be, and the same is
45 hereby amended by the addition thereto of a NEW SECTION, to be known and des-
46 ignated as Section 39-5704D, Idaho Code, and to read as follows:

1 39-5704D. BOND REQUIREMENT FOR NONRESIDENT OR FOREIGN MANUFACTURERS
 2 OF ELECTRONIC SMOKING DEVICES. (1) Any nonresident or foreign manufacturer
 3 of electronic smoking devices that has not registered to do business in
 4 the state as a foreign corporation or business entity shall, as a condition
 5 precedent to receiving an electronic smoking device permit, submit to the
 6 department a surety bond or other cash security payable to the state in the
 7 amount of twenty-five thousand dollars (\$25,000). The bond shall be posted
 8 by a corporate surety located within the United States. Whenever it is the
 9 opinion of the department that the bond given by a permittee is inadequate
 10 in amount to fully protect the state, the department shall require an addi-
 11 tional bond in such amount as the department deems sufficient.

12 (2) The bond shall be conditioned on the performance by the electronic
 13 smoking device manufacturer of all requirements and obligations imposed by
 14 this section. A surety on a manufacturer's bond shall be liable up to the
 15 amount of the bond, and the state may execute on such surety bond for the pay-
 16 ment of fines and penalties imposed on the manufacturer under this chapter
 17 and for the costs of seizure and destruction of products sold in violation of
 18 this chapter. If the state executes on the surety bond, it may require the
 19 manufacturer to provide an additional bond as a condition precedent for re-
 20 taining the electronic smoking device manufacturer permit.

21 (3) A surety on a bond furnished by an electronic smoking device manu-
 22 facturer as provided in this section shall be released and discharged from
 23 liability to the state accruing on the bond after expiration of sixty (60)
 24 days from the date upon which such surety lodges with the department a writ-
 25 ten request to be released and discharged. This provision shall not operate
 26 to relieve, release, or discharge the surety from liability already accrued
 27 or that accrues before the expiration of the sixty (60) day period. The de-
 28 partment shall, upon receiving any such request, notify the manufacturer who
 29 furnished the bond. Unless the manufacturer, on or before the expiration
 30 of the sixty (60) day period, files with the department a new bond, with the
 31 surety approved by and acceptable to the department, the department shall
 32 cancel the manufacturer's electronic smoking device manufacturer permit.

33 SECTION 9. That Chapter 57, Title 39, Idaho Code, be, and the same is
 34 hereby amended by the addition thereto of a NEW SECTION, to be known and des-
 35 ignated as Section 39-5704E, Idaho Code, and to read as follows:

36 39-5704E. PENALTIES. (1) Any person who violates any of the provisions
 37 of sections 39-5704A through 39-5704D, Idaho Code, shall be subject to the
 38 following penalties:

39 (a) In the case of a first violation, a fine of five hundred dollars
 40 (\$500) per product purchased, sold, or manufactured in violation of
 41 such sections.

42 (b) In the case of a second violation in a two (2) year period, a fine of
 43 one thousand dollars (\$1,000) per product purchased, sold, or manufac-
 44 tured in violation of such sections, and if the violator holds a permit,
 45 the permit shall be suspended for seven (7) days.

46 (c) In the case of a third violation in a two (2) year period, a fine of
 47 two thousand dollars (\$2,000) per product purchased, sold, or manufac-
 48 tured in violation of such sections, and if the violator holds a permit,
 49 the permit shall be suspended for thirty (30) days.

1 (d) In the case of a fourth violation in a two (2) year period, a fine of
2 five thousand dollars (\$5,000) per product purchased, sold, or manufac-
3 tured in violation of such sections, and if the violator holds a permit,
4 the permit shall be revoked.

5 (2) A second or subsequent violation of the provisions of sections
6 39-5704A through 39-5704D, Idaho Code, constitutes an unfair and deceptive
7 act or practice pursuant to chapter 6, title 48, Idaho Code.

8 (3) Any electronic smoking devices offered for sale in violation of the
9 provisions of this chapter are hereby declared to be contraband goods and
10 may be seized by the department or an employee of the department, or by any
11 peace officer when directed by the department, without a warrant. Said elec-
12 tronic smoking devices seized shall be destroyed or otherwise permanently
13 disposed of and shall not be subject to resale. Fifteen (15) days' notice of
14 the destruction or disposal shall be given. The cost of such seizure and de-
15 struction or disposal shall be borne by the person from whom the products are
16 seized.

17 SECTION 10. That Section 39-5705, Idaho Code, be, and the same is hereby
18 amended to read as follows:

19 39-5705. SALE OR DISTRIBUTION OF ALTERNATIVE NICOTINE PRODUCTS, TO-
20 BACCO PRODUCTS, OR ELECTRONIC SMOKING DEVICES TO A MINOR. (1) It shall be un-
21 lawful to sell, distribute, or offer alternative nicotine products, tobacco
22 products, or electronic smoking devices to a minor.

23 (2) It shall be an affirmative defense that the seller of an alternative
24 nicotine product, a tobacco product, or an electronic smoking device to a mi-
25 nor in violation of this section had requested, examined, and reasonably re-
26 lied upon a photographic identification from such person establishing that
27 the person is at least twenty-one (21) years of age prior to selling such
28 person an alternative nicotine product, a tobacco product, or an electronic
29 smoking device. The failure of a seller to request and examine photographic
30 identification from a person under twenty-one (21) years of age prior to the
31 sale of an alternative nicotine product, a tobacco product, or an electronic
32 smoking device to such person shall be construed against the seller and form
33 a conclusive basis for the seller's violation of this section.

34 SECTION 11. That Section 39-5706, Idaho Code, be, and the same is hereby
35 amended to read as follows:

36 39-5706. VENDOR-ASSISTED SALES. (1) It shall be unlawful to sell or
37 distribute alternative nicotine products, tobacco products, or electronic
38 smoking devices by any means other than vendor-assisted sales where the
39 customer has no access to the product except through the assistance of the
40 seller.

41 (2) It shall be unlawful to sell or distribute alternative nicotine
42 products, tobacco products, or electronic smoking devices from vending ma-
43 chines or self-service displays.

44 (3) Stores with alternative nicotine products, tobacco products, or
45 electronic smoking devices comprising at least seventy-five percent (75%)
46 of total merchandise are exempt from requiring vendor-assisted sales if mi-

nors are not allowed in the store and such prohibition is posted clearly on all entrance doors.

SECTION 12. That Section 39-5707, Idaho Code, be, and the same is hereby amended to read as follows:

39-5707. OPENED PACKAGES AND SAMPLES. (1) It shall be unlawful to sell or distribute alternative nicotine products, tobacco products, or electronic smoking devices for commercial purposes other than in the federally required sealed package provided by the manufacturer with all the required warning labels and health warnings.

(2) It shall be unlawful to sell or distribute alternative nicotine products, tobacco products, or electronic smoking devices for free or below the cost of such products to the sellers or distributors of the products for commercial or promotional purposes to members of the general public in public places or at public events.

SECTION 13. That Section 39-5708, Idaho Code, be, and the same is hereby amended to read as follows:

39-5708. CIVIL PENALTIES FOR VIOLATIONS OF PERMIT. (1) Any permittee who fails to comply with any part of this chapter regarding the sale or distribution of alternative nicotine products, tobacco products, or electronic smoking devices shall be subject to a civil penalty as provided in this section or have their permit suspended, pursuant to compliance with the contested case provisions of the Idaho administrative procedure act, chapter 52, title 67, Idaho Code, or both.

(2) If a seller who is not a permittee violates section 39-5705, Idaho Code, and sells or distributes alternative nicotine products, tobacco products, or electronic smoking devices to a minor, then the seller shall be fined one hundred dollars (\$100).

(3) In the case of a first violation, the permittee shall be notified in writing of penalties to be levied for further violations.

(4) In the case of a second violation, the permittee shall be fined two hundred dollars (\$200) and shall be notified in writing of penalties to be levied for further violations. For a violation of section 39-5705, Idaho Code, the permittee shall not be fined if the permittee can show that a training program was in place for the employee and that the permittee has a form signed by that employee on file stating that the employee understands the alternative nicotine product, tobacco product, or electronic smoking device laws dealing with minors and the unlawful purchase of alternative nicotine products, tobacco products, or electronic smoking devices, but the permittee shall be notified in writing of penalties to be levied for any further violations. If no such training is in place, the permittee shall be fined two hundred dollars (\$200).

(5) In the case of a third violation in a two (2) year period, the permittee shall be fined two hundred dollars (\$200) and the permit may be suspended for up to seven (7) days. If the violation is by an employee, at the same location, who was involved in any previous citation for violation, the permittee shall be fined four hundred dollars (\$400). Effective training and employment practices by the permittee, as determined by the department,

1 shall be a mitigating factor in determining permit suspension. Evidence of
 2 mitigating factors shall be submitted to the department within ten (10) days
 3 of the date of violation. ~~Tobacco~~ Alternative nicotine product, tobacco
 4 product, or electronic smoking device retailers must remove all alternative
 5 nicotine products, tobacco products, or electronic smoking devices from all
 6 areas accessible to or visible to the public while the permit is suspended.

7 (6) In the case of four (4) or more violations within a two (2) year pe-
 8 riod, the permittee shall be fined four hundred dollars (\$400) and the per-
 9 mit shall be revoked until such time that the permittee demonstrates an ef-
 10 fective training plan to the department, but in no case shall the revoca-
 11 tion be for less than thirty (30) days. ~~Tobacco~~ Alternative nicotine prod-
 12 uct, tobacco product, or electronic smoking device retailers must remove all
 13 alternative nicotine products, tobacco products, or electronic smoking de-
 14 VICES from all areas accessible to or visible to the public while the permit
 15 is revoked.

16 (7) All moneys collected for violations pursuant to this section shall
 17 be remitted to the prevention of minors' access to alternative nicotine
 18 products, tobacco products, or electronic smoking devices fund created in
 19 section 39-5711, Idaho Code.

20 (8) All fines shall be paid in full prior to renewal of a permit and
 21 within ten (10) days of the date of the violation.

22 SECTION 14. That Section 39-5709, Idaho Code, be, and the same is hereby
 23 amended to read as follows:

24 39-5709. CRIMINAL PENALTIES FOR VIOLATIONS WITHOUT A PERMIT. Sale or
 25 distribution of alternative nicotine products, tobacco products, or elec-
 26 tronic smoking devices, or any violation of this chapter, without a permit is
 27 considered by the state of Idaho as an effort to subvert the state's public
 28 purpose to prevent minor's minors' access to alternative nicotine products,
 29 tobacco products, or electronic smoking devices.

30 (1) The sale or distribution of alternative nicotine products, tobacco
 31 products, or electronic smoking devices without a permit shall constitute a
 32 misdemeanor punishable by imprisonment not exceeding six (6) months in the
 33 county jail, a fine of three hundred dollars (\$300), or by both such fine
 34 and imprisonment. If the sale or distribution of alternative nicotine prod-
 35 ucts, tobacco products, or electronic smoking devices was to a minor, the
 36 fine shall be no less than five hundred dollars (\$500) nor more than one thou-
 37 sand dollars (\$1,000). The provisions of this section shall not be applica-
 38 ble to an employee of the business engaged in the sale of alternative nico-
 39 tine products, tobacco products, or electronic smoking devices if the sale
 40 occurred during the course of such employment and the seller does not have an
 41 ownership interest in the business.

42 (2) In addition to the penalties set forth in subsection (1) of this
 43 section, the court may impose an additional fine of one thousand dollars
 44 (\$1,000) per day beginning the day following the date of citation as long as
 45 the illegal alternative nicotine products, tobacco products, or electronic
 46 smoking devices sales or distribution continues. The first seven (7) days of
 47 additional fines may be suspended, provided that the business or seller is
 48 able to prove that the business or seller has applied for the permit within
 49 seven (7) days of the citation.

1 SECTION 15. That Section 39-5710, Idaho Code, be, and the same is hereby
2 amended to read as follows:

3 39-5710. CONDUCT OF ENFORCEMENT ACTIONS. (1) It is the intent of the
4 legislature that law enforcement agencies, the attorney general, and the
5 department shall enforce this chapter in a manner that can reasonably be
6 expected to significantly reduce the extent to which alternative nicotine
7 products, tobacco products, and electronic smoking devices are sold or dis-
8 tributed to minors.

9 (2) Law enforcement agencies may conduct random, unannounced inspec-
10 tions at locations where alternative nicotine products, tobacco products,
11 or electronic smoking devices are sold or distributed to ensure compliance
12 with this chapter. A copy of all citations issued under this chapter shall be
13 submitted to the department.

14 (3) The department shall conduct at least one (1) random, unannounced
15 inspection per year at all locations where alternative nicotine products,
16 tobacco products, or electronic smoking devices are sold or distributed at
17 retail to ensure compliance with this chapter. The department shall conduct
18 inspections for minor-exempt permittees without the assistance of a minor.
19 The department shall conduct inspections for all other permittees with the
20 assistance of a minor. Each year, the department shall conduct random, unan-
21 nounced inspections equal to the number of permittees on the last day of the
22 calendar year multiplied by the violation percentage rate reported for the
23 previous year multiplied by a factor of ten (10). In no instance will the
24 number of inspections exceed twice the number of permittees. Local law en-
25 forcement agencies are encouraged to contract with the department to perform
26 these required inspections.

27 (4) Minors may assist with random, unannounced inspections, provided
28 that minors under the age of eighteen (18) years must have the written con-
29 sent of a parent or legal guardian. When assisting with these inspections,
30 minors shall not provide false identification or make any false statement
31 regarding their age.

32 (5) Citizens may file a written complaint of noncompliance of this
33 chapter with the department or with a law enforcement agency. Permit holders
34 under 26 U.S.C. 5712 may file written complaints relating to delivery sales
35 to the department or the attorney general's offices. Complaints shall be
36 investigated and the proper enforcement actions taken.

37 (6) Within a reasonable time, not later than two (2) business days after
38 an inspection has occurred, a representative of the business inspected shall
39 be informed in writing of the results of the inspection.

40 (7) The attorney general or his designee, or any person who holds a per-
41 mit under 26 U.S.C. 5712, may bring an action in district court in Idaho to
42 prevent or restrain violations of this chapter by any person or by any person
43 controlling such person.

44 SECTION 16. That Section 39-5711, Idaho Code, be, and the same is hereby
45 amended to read as follows:

46 39-5711. FUNDING AND CREATION OF PREVENTION OF MINORS' ACCESS TO
47 ALTERNATIVE NICOTINE PRODUCTS, TOBACCO PRODUCTS, OR ELECTRONIC SMOKING
48 DEVICES FUND. There is hereby created the prevention of minors' access to

1 alternative nicotine products, tobacco products, or electronic smoking de-
 2 vices fund in the state treasury. Moneys in the fund shall be used to fund the
 3 administration, inspections and enforcement of this chapter. Moneys in the
 4 fund may be expended only pursuant to appropriation. The fund shall consist
 5 of:

6 (1) The current federal funds that are available for inspections or for
 7 the prevention of minors' access to tobacco products or electronic smoking
 8 devices shall be utilized by the department;

9 (2) The fines from the civil penalties pursuant to section 39-5708,
 10 Idaho Code; and

11 (3) Moneys from any other source.

12 SECTION 17. That Section 39-5713, Idaho Code, be, and the same is hereby
 13 amended to read as follows:

14 39-5713. LOCAL ORDINANCES PROHIBITED. No local unit of government
 15 may adopt or enforce requirements for the regulation, marketing, or sale of
 16 alternative nicotine products, tobacco products, or electronic smoking de-
 17 vices that are more restrictive than or in addition to this chapter. No local
 18 unit of government may impose or enforce a tax or fee on alternative nicotine
 19 products, tobacco products, or electronic smoking devices. This section
 20 shall not be construed to prevent a local unit of government from regulating
 21 the use of alternative nicotine products, tobacco products, or electronic
 22 smoking devices in any public place pursuant to section 39-5511, Idaho Code,
 23 or in any other public outdoor area. Nothing in this section shall preclude
 24 or preempt any local, county, or municipal government from exercising its
 25 lawful authority to regulate zoning or land use.

26 SECTION 18. That Section 39-5714, Idaho Code, be, and the same is hereby
 27 amended to read as follows:

28 39-5714. REQUIREMENTS FOR DELIVERY SALES. (1) No permittee shall make
 29 a delivery sale of alternative nicotine products, tobacco products, or elec-
 30 tronic smoking devices to any individual who is under age twenty-one (21)
 31 years in this state.

32 (2) Each permittee taking a delivery sale order shall comply with: the
 33 age verification requirements set forth in section 39-5715, Idaho Code;
 34 the disclosure and notice requirements set forth in section 39-5716, Idaho
 35 Code; the shipping requirements set forth in section 39-5717, Idaho Code;
 36 the registration and reporting requirements set forth in section 39-5718,
 37 Idaho Code; all tax collection requirements provided by title 63, Idaho
 38 Code; and all other laws of the state of Idaho generally applicable to sales
 39 of alternative nicotine products, tobacco products, or electronic smoking
 40 devices that occur entirely within Idaho, including but not limited to those
 41 laws imposing excise taxes, sales and use taxes, licensing and tax stamping
 42 requirements, and escrow or other payment obligations.

43 SECTION 19. That Section 39-5715, Idaho Code, be, and the same is hereby
 44 amended to read as follows:

1 39-5715. AGE VERIFICATION REQUIREMENTS. No permittee shall mail or
 2 ship alternative nicotine products, tobacco products, or electronic smoking
 3 devices in connection with a delivery sale order unless, before mailing or
 4 shipping such alternative nicotine products, tobacco products, or elec-
 5 tronic smoking devices, the permittee accepting the delivery sale order
 6 first obtains from the prospective customer a certification that includes
 7 proof of age that the purchaser is at least twenty-one (21) years old, the
 8 credit or debit card used for payment has been issued in the purchaser's
 9 name, and the address to which the alternative nicotine products, tobacco
 10 products, or electronic smoking devices are being shipped matches the
 11 credit card company's address for the cardholder or employs technology that
 12 requires and authenticates independent, third-party age and identity veri-
 13 fication services, comparing data against third-party sources.

14 SECTION 20. That Section 39-5717, Idaho Code, be, and the same is hereby
 15 amended to read as follows:

16 39-5717. SHIPPING REQUIREMENTS -- TOBACCO PRODUCTS, ALTERNATIVE
 17 NICOTINE PRODUCTS, OR ELECTRONIC SMOKING DEVICES. Each permittee who mails
 18 or ships alternative nicotine products, tobacco products, or electronic
 19 smoking devices in connection with a delivery sale order shall include as
 20 part of the shipping documents a clear and conspicuous statement providing
 21 as follows:

22 ALTERNATIVE NICOTINE PRODUCTS, TOBACCO PRODUCTS, OR ELECTRONIC
 23 SMOKING DEVICES: IDAHO LAW PROHIBITS SHIPPING TO INDIVIDUALS UNDER
 24 THE AGE OF TWENTY-ONE (21) YEARS AND REQUIRES THE PAYMENT OF TAXES
 25 PURSUANT TO CHAPTER 25, TITLE 63, IDAHO CODE. PERSONS VIOLATING
 26 THIS LAW MAY BE CIVILLY AND CRIMINALLY LIABLE.

27 Anyone who delivers any such container distributes alternative nico-
 28 tine products, tobacco products, or electronic smoking devices as defined in
 29 section ~~39-5702(5)~~ 39-5702(6), Idaho Code, and is subject to the terms and
 30 requirements of this chapter. If a permittee taking a delivery sale order
 31 also delivers the alternative nicotine products, tobacco products, or elec-
 32 tronic smoking devices without using a third-party delivery service, the
 33 permittee shall comply with all the requirements of vendor-assisted sales as
 34 defined in section ~~39-5702(17)~~ 39-5702, Idaho Code.

35 SECTION 21. That Section 39-5718, Idaho Code, be, and the same is hereby
 36 amended to read as follows:

37 39-5718. REGISTRATION AND REPORTING REQUIREMENTS. (1) Prior to making
 38 delivery sales or shipping alternative nicotine products, tobacco products,
 39 or electronic smoking devices in connection with any such sales, every busi-
 40 ness shall obtain a permit from the department and file with the state tax
 41 commission a statement setting forth the permittee's name, trade name, and
 42 the address of the business's principal place of business and any other place
 43 of business.

44 (2) No later than the tenth day of each calendar month, each permit-
 45 tee that has made a delivery sale or shipped or delivered alternative nico-
 46 tine products, tobacco products, or electronic smoking devices in connec-
 47 tion with any such sale during the previous calendar month shall file with

1 the department and the state tax commission a memorandum or a copy of the in-
2 voice that provides for each and every such delivery sale:

3 (a) The name and address of the individual to whom the delivery sale was
4 made;

5 (b) The brand or brands of the alternative nicotine products, tobacco
6 products, or electronic smoking devices that were sold in such delivery
7 sale; and

8 (c) The quantity of alternative nicotine products, tobacco products,
9 or electronic smoking devices that were sold in such delivery sale.

10 (3) Any alternative nicotine products, tobacco products, or electronic
11 smoking devices sold or attempted to be sold in a delivery sale that does
12 not meet the requirements of this chapter shall be forfeited to the state of
13 Idaho.

14 SECTION 22. That Section 39-8421, Idaho Code, be, and the same is hereby
15 amended to read as follows:

16 39-8421. DEFINITIONS. As used in sections 39-8420 through 39-8425,
17 Idaho Code:

18 (1) The definitions set forth in section 39-8402, Idaho Code, of the
19 Idaho tobacco master settlement agreement complementary act, and in this
20 section, apply to sections 39-8420 through 39-8425, Idaho Code.

21 (2) "Cigarette rolling machine" means any machine or device that has
22 the capability to produce at least one hundred fifty (150) cigarettes in less
23 than thirty (30) minutes.

24 (3) "Cigarette rolling machine operator" means any person who owns or
25 leases or otherwise has available for use a cigarette rolling machine and
26 makes such a machine available for use by another person in a commercial
27 setting in order to manufacture a cigarette. No person shall be deemed a
28 cigarette rolling machine operator based solely upon that person's manufac-
29 ture, sale, enabling, disabling, or repair of a cigarette rolling machine.

30 (4) "Minor" has the same meaning as that term is defined in section
31 ~~39-5702(7)~~ 39-5702, Idaho Code.

32 (5) "Person" means natural persons, corporations both foreign and do-
33 mestic, trusts, partnerships both limited and general, incorporated or un-
34 incorporated associations, companies, business entities, and any other le-
35 gal entity, or any other group associated in fact although not a legal en-
36 tity.

37 (6) "Tobacco products" means any substance that contains tobacco,
38 including but not limited to cigarettes, cigars, pipes, snuff, smoking to-
39 bacco, tobacco papers, or smokeless tobacco.

40 SECTION 23. That Section 56-227F, Idaho Code, be, and the same is hereby
41 amended to read as follows:

42 56-227F. PUBLIC ASSISTANCE BENEFIT CARDS -- PROHIBITED USES. (1) Any
43 recipient of public assistance is prohibited from using public assistance
44 benefit cards or cash obtained with public assistance benefit cards:

45 (a) For the purpose of participating in any of the activities described
46 under chapters 38 and 49, title 18, Idaho Code, or authorized pursuant
47 to any state-tribal gaming compact under section 67-429A, Idaho Code;

1 (b) For the purpose of pari-mutuel betting authorized under chapter 25,
2 title 54, Idaho Code;

3 (c) To purchase lottery tickets or shares authorized under chapter 74,
4 title 67, Idaho Code;

5 (d) For the purpose of participating in or purchasing tattoo, branding
6 or body piercing services as defined in section 18-1523, Idaho Code;

7 (e) To purchase cigarettes as defined in section 39-7802(d), Idaho
8 Code, or tobacco products or electronic smoking devices as defined in
9 section ~~39-5702(15)~~ 39-5702, Idaho Code;

10 (f) To purchase any items regulated under title 23, Idaho Code;

11 (g) For the purpose of adult entertainment at venues with performances
12 that contain sexually oriented material where minors under the age of
13 eighteen (18) years are prohibited; or

14 (h) For the purpose of purchasing or participating in any activities in
15 any location listed in subsection (2) of this section.

16 (2) The following businesses are required to comply with the provisions
17 of this section:

18 (a) Any establishment or business licensed under chapter 9, title 23,
19 Idaho Code;

20 (b) State liquor stores defined under section 23-902, Idaho Code, with
21 the exception of special distributors as referenced in chapter 3, title
22 23, Idaho Code;

23 (c) Any business or agency that issues or underwrites bail bonds as de-
24 fined in section 41-1038(3), Idaho Code;

25 (d) Gambling establishments licensed under Idaho law;

26 (e) Any business or establishment that offers tattoo, body piercing or
27 branding services as defined in section 18-1523, Idaho Code;

28 (f) Adult entertainment venues with performances that contain sexually
29 oriented material where minors under the age of eighteen (18) years are
30 prohibited; and

31 (g) Any establishment where persons under the age of eighteen (18)
32 years are not permitted.

33 (3) The department shall notify any business determined to be in viola-
34 tion of the provisions of subsection (2) of this section and the licensing
35 authority of any such business, if applicable, that such business has con-
36 tinued to allow the use of a public assistance benefit card in violation of
37 subsection (2) of this section. The department may require the Idaho quest
38 electronic benefits transfer (EBT) card business identification number
39 (BIN) be disabled at any business found to be in violation of subsection (2)
40 of this section. Any business in violation of subsection (2) of this section
41 may also be required to deny all public assistance cash transactions made
42 with an Idaho quest EBT card at any automated teller machine (ATM) located
43 in their establishment. All costs associated with disabling the BIN and ATM
44 will be the responsibility of such business owner.

45 (4) Only the recipient, an eligible member of the recipient's house-
46 hold or the recipient's authorized representative may use a public assis-
47 tance benefit card or the benefit, and such use shall only be for the re-
48 spective benefit program purposes. The recipient shall not sell, attempt to
49 sell, exchange or donate a public assistance benefit card or any benefits to
50 any other person or entity.

1 (5) A violation of subsection (1) or (4) of this section by a recipient
2 constitutes a misdemeanor.

3 (a) The department shall notify all recipients of public assistance
4 benefit cards that any violation of subsection (1) or (4) of this sec-
5 tion could result in legal proceedings and forfeiture of all cash public
6 assistance.

7 (b) Whenever the department has confirmed that a person has violated
8 subsection (1) or (4) of this section, the department shall notify the
9 person in writing that the violation could result in legal proceedings
10 and forfeiture of all cash public assistance.

11 (6) As used in this section, "public assistance" or "public assistance
12 benefit" means benefits provided to a recipient pursuant to the temporary
13 assistance for families in Idaho (TAFI) program on an Idaho quest EBT card
14 account.

15 (7) This section shall be enforced by the director of the department of
16 health and welfare in cooperation with local law enforcement and prosecuting
17 agencies.

18 SECTION 24. That the Heading for Chapter 25, Title 63, Idaho Code, be,
19 and the same is hereby amended to read as follows:

20 CHAPTER 25

21 CIGARETTE, NICOTINE, AND TOBACCO PRODUCTS TAXES

22 SECTION 25. That Section 63-2551, Idaho Code, be, and the same is hereby
23 amended to read as follows:

24 63-2551. TOBACCO AND NICOTINE PRODUCTS TAX -- DEFINITIONS. As used in
25 this act:

26 (1) "Tobacco products" shall mean any cigars, cheroots, stogies,
27 smoking tobacco (including granulated, plug, cut, crimp cut, ready rubbed
28 and any other kinds and forms of tobacco suitable for smoking in a pipe or
29 cigarette), chewing tobacco (including cavendish, twist, plug, scrap and
30 any other kinds and forms of tobacco suitable for chewing) and snuff, however
31 prepared; and shall include any other articles or products made of tobacco
32 except cigarettes;

33 (2) "Manufacturer" means a person who manufactures and sells tobacco
34 products, alternative nicotine products, or vapor products;

35 (3) "Distributor" means (a) any person engaged in the business of sell-
36 ing tobacco products, alternative nicotine products, or vapor products in
37 this state who brings, or causes to be brought, into this state from without
38 the state any tobacco products, alternative nicotine products, or vapor
39 products for sale, (b) any person who makes, manufactures, or fabricates
40 tobacco products, alternative nicotine products, or vapor products in this
41 state for sale in this state, (c) any person engaged in the business of
42 selling tobacco products, alternative nicotine products, or vapor products
43 without this state who ships or transports tobacco products, alternative
44 nicotine products, or vapor products to retailers in this state, to be sold
45 by those retailers;

46 (4) "Subjobber" means any person, other than a manufacturer or distrib-
47 utor, who buys tobacco products, alternative nicotine products, or vapor

1 products from a distributor and sells them to persons other than the ultimate
 2 consumers;

3 (5) "Retailer" means any person engaged in the business of selling to-
 4 bacco products, alternative nicotine products, or vapor products to ulti-
 5 mate consumers;

6 (6) "Sale" means any transfer, exchange, or barter, in any manner or by
 7 any means whatsoever, for a consideration, and includes and means all sales
 8 made by any person. It includes a gift by a person engaged in the business of
 9 selling tobacco products, alternative nicotine products, or vapor products,
 10 for advertising, as a means of evading the provisions of this chapter, or for
 11 any other purposes whatsoever;

12 (7) "Wholesale sales price" means the established price for which a
 13 manufacturer or any person sells a tobacco product, alternative nicotine
 14 product, or vapor product to a distributor that is not a related person as de-
 15 defined in section 267 of the Internal Revenue Code, exclusive of any discount
 16 or other reduction;

17 (8) "Business" means any trade, occupation, activity, or enterprise
 18 engaged in for the purpose of selling or distributing tobacco products, al-
 19 ternative nicotine products, or vapor products in this state;

20 (9) "Place of business" means any place where tobacco products, alter-
 21 native nicotine products, or vapor products are manufactured, stored, or
 22 kept for the purpose of sale or consumption, including any vessel, vehicle,
 23 airplane or train;

24 (10) "Retail outlet" means each place of business from which tobacco
 25 products, alternative nicotine products, or vapor products are sold to con-
 26 sumers;

27 (11) "Commission" means the Idaho state tax commission.

28 (12) "Alternative nicotine product" means a noncombustible product
 29 that contains nicotine, whether natural or synthetic, but does not contain
 30 tobacco and is intended for human consumption, whether chewed, absorbed,
 31 dissolved, ingested, or by other means. This term shall not include a vapor
 32 product or any product regulated by the United States food and drug adminis-
 33 tration under chapter V of the federal food, drug, and cosmetic act.

34 (13) "Electronic smoking device" has the same meaning as that term is
 35 defined in section 39-5702, Idaho Code.

36 (14) "Vapor product" means any liquid, substance, or mixture, whether
 37 or not containing nicotine, that is designed, manufactured, or marketed for
 38 use in an electronic smoking device to produce vapor, including any pre-
 39 filled cartridge, pod, vapor solution, vapor cartridge, or other container
 40 of liquid or other form that is intended to be used with or in an electronic
 41 cigarette, electronic cigar, electronic cigarillo, electronic pipe, or sim-
 42 ilar product or device. The term does not include any product regulated by
 43 the United States food and drug administration under chapter V of the federal
 44 food, drug, and cosmetic act.

45 SECTION 26. That Section 63-2552B, Idaho Code, be, and the same is
 46 hereby amended to read as follows:

47 63-2552B. TOBACCO PRODUCTS, ALTERNATIVE NICOTINE PRODUCTS, AND VAPOR
 48 PRODUCTS USE TAX. Any person who does not hold a tobacco products tax permit
 49 who possesses, purchases or consumes tobacco products, alternative nicotine

1 products, or vapor products upon which tax imposed by this chapter has not
 2 been paid, including tobacco products, alternative nicotine products, or
 3 vapor products sold by internet, catalog, telephone and facsimile sell-
 4 ers, is liable for the taxes imposed by sections 63-2552, ~~and~~ 63-2552A, and
 5 63-2552C, Idaho Code, to be reported and paid as required in section 63-2560,
 6 Idaho Code.

7 SECTION 27. That Chapter 25, Title 63, Idaho Code, be, and the same is
 8 hereby amended by the addition thereto of a NEW SECTION, to be known and des-
 9 ignated as Section 63-2552C, Idaho Code, and to read as follows:

10 63-2552C. TAX ON THE SALE OF ALTERNATIVE NICOTINE PRODUCTS AND VAPOR
 11 PRODUCTS -- DISTRIBUTION. (1) There is hereby imposed an excise tax on vapor
 12 products sold in the state of Idaho. Such tax shall be at the rate of five
 13 cents (5¢) per fluid milliliter of vapor products. All invoices for any va-
 14 por product issued by manufacturers shall state the amount of consumable va-
 15 por product in milliliters. The distributor shall be liable for the payment
 16 of the tax imposed by this subsection. The tax shall be imposed at the time
 17 the distributor:

18 (a) Brings or causes to be brought into this state vapor products for
 19 sale;

20 (b) Manufactures vapor products in this state for sale; or

21 (c) Ships or transports vapor products to retailers in this state to be
 22 sold by those retailers.

23 (2) There is hereby imposed an excise tax on alternative nicotine prod-
 24 ucts sold in the state of Idaho. Such tax shall be at the rate of twenty-five
 25 cents (25¢) per container of alternative nicotine products that contains at
 26 least one (1) and not more than twenty (20) units, and for any container that
 27 includes more than twenty (20) units, at the rate of twenty-five cents (25¢)
 28 per container plus a proportionate tax at the like rate on each unit in excess
 29 of twenty (20) units. The distributor shall be liable for the payment of the
 30 tax imposed by this subsection. The tax shall be imposed at the time the dis-
 31 tributor:

32 (a) Brings or causes to be brought into this state alternative nicotine
 33 products for sale;

34 (b) Manufactures alternative nicotine products in this state for sale;
 35 or

36 (c) Ships or transports alternative nicotine products to retailers in
 37 this state to be sold by those retailers.

38 (3) A retailer who brings, or causes to be brought, into this state from
 39 outside the state alternative nicotine products or vapor products for sale
 40 on which the tax has not been paid is responsible for payment of the tax at
 41 the time of receiving such products and before selling such products to the
 42 ultimate consumer.

43 (4) Revenues received from the taxes imposed by this section shall be
 44 distributed by the state tax commission as follows:

45 (a) Fifty percent (50%) shall be distributed to the department of
 46 health and welfare for adult and children's behavioral health programs;

47 (b) Twenty-five percent (25%) shall be distributed to the public school
 48 income fund for the purposes of safe and drug free schools and include

1 purposes of prevention and cessation, behavioral health, and the hiring
2 of personnel necessary to respond to the use of nicotine products; and
3 (c) Twenty-five (25%) shall be distributed to the general fund.

4 SECTION 28. That Section 63-2553, Idaho Code, be, and the same is hereby
5 amended to read as follows:

6 63-2553. LEGISLATIVE INTENT. It is the intent and purpose of this
7 chapter to levy a tax on all tobacco products, alternative nicotine prod-
8 ucts, and vapor products sold, used, consumed, handled, or distributed
9 within this state and to collect the tax from the distributor as defined in
10 section 63-2551, Idaho Code. It is the further intent and purpose of this
11 chapter to impose the tax only once but nothing in this chapter shall be con-
12 strued to exempt any person taxable under any other law or under any other tax
13 imposed by the state of Idaho.

14 SECTION 29. That Section 63-2554, Idaho Code, be, and the same is hereby
15 amended to read as follows:

16 63-2554. PERMIT REQUIRED. (1) No person shall engage in the business
17 of a manufacturer, distributor, or subjobber of tobacco products, alterna-
18 tive nicotine products, or vapor products at any place of business without
19 first having received from the commission a permit as provided in section
20 63-2503 or 63-2504, Idaho Code.

21 (2) Distributors and subjobbers shall purchase tobacco products, al-
22 ternative nicotine products, or vapor products only from a manufacturer,
23 wholesaler, or distributor who has obtained a permit under this chapter or
24 under chapter 57, title 39, Idaho Code, as appropriate, and shall verify that
25 the seller holds a valid permit before making a purchase.

26 (3) Retailers shall purchase alternative nicotine products, tobacco
27 products, or vapor products only from a wholesaler or distributor who has ob-
28 tained a permit under this chapter or under chapter 57, title 39, Idaho Code,
29 as appropriate, and shall verify that the seller holds a valid permit before
30 making a purchase.

31 (4) Manufacturers shall sell alternative nicotine products, tobacco
32 products, or vapor products only to a wholesaler, subjobber, or distributor
33 who has obtained a permit under this chapter or under chapter 57, title 39,
34 Idaho Code, as appropriate, and shall verify that the purchaser holds a valid
35 permit before making a sale.

36 (5) Wholesalers, subjobbers, and distributors shall sell alternative
37 nicotine products, tobacco products, or vapor products only to a wholesaler,
38 subjobber, distributor, or retailer who has obtained a permit under this
39 chapter or under chapter 57, title 39, Idaho Code, as appropriate, and shall
40 verify that the purchaser holds a valid permit before making a sale.

41 (6) The state tax commission shall publish a list of active permits and
42 shall update such list monthly. The state tax commission also shall publish
43 a list of persons whose permits have been suspended or revoked, including the
44 date of the suspension and the date of the anticipated reinstatement or the
45 date of the revocation.

1 SECTION 30. That Section 63-2555, Idaho Code, be, and the same is hereby
2 amended to read as follows:

3 63-2555. BOOKS AND RECORDS TO BE PRESERVED -- ENTRY AND INSPECTION BY
4 COMMISSION. (1) Every distributor shall keep at each registered place of
5 business complete and accurate records for that place of business, including
6 itemized invoices, of tobacco products, alternative nicotine products, and
7 vapor products held, purchased, manufactured, brought in or caused to be
8 brought in from without the state, or shipped or transported to retailers
9 in this state, and of all sales of tobacco products, alternative nicotine
10 products, and vapor products made, except sales to the ultimate consumer.

11 (2) These records shall show the names and addresses of purchasers, the
12 inventory of all tobacco products, alternative nicotine products, and vapor
13 products on hand on July 1, 1972, July 1, 2026, and other pertinent papers and
14 documents relating to the purchase, sale or disposition of tobacco products,
15 alternative nicotine products, and vapor products.

16 (3) When a registered distributor sells tobacco products, alternative
17 nicotine products, or vapor products exclusively to the ultimate consumer
18 at the address given in the certificate, no invoice of those sales shall
19 be required, but itemized invoices shall be made of all tobacco products,
20 alternative nicotine products, and vapor products transferred to other re-
21 tail outlets owned or controlled by that registered distributor. All books,
22 records, and other papers and documents required by this section to be kept
23 shall be preserved for a period of at least five (5) years after the date of
24 the documents, as aforesaid, or the date of the entries thereof appearing in
25 the records, unless the commission, in writing, authorizes their destruc-
26 tion or disposal at an earlier date. At any time during usual business hours,
27 the commission, or its duly authorized agents or employees, may enter any
28 place of business of a distributor, without a search warrant, and inspect
29 the premises, the records required to be kept under this chapter, and the to-
30 bacco products, alternative nicotine products, and vapor products contained
31 therein, to determine whether or not all the provisions of this chapter are
32 being fully complied with. If the commission, or any of its agents or employ-
33 ees, is denied free access or is hindered or interfered with in making such
34 examination, the permit of the distributor at such premises shall be subject
35 to revocation by the commission.

36 SECTION 31. That Section 63-2556, Idaho Code, be, and the same is hereby
37 amended to read as follows:

38 63-2556. PRESERVATION OF INVOICES OF SALES TO OTHER THAN ULTIMATE CON-
39 SUMER. Every person who sells tobacco products, alternative nicotine prod-
40 ucts, or vapor products to persons other than the ultimate consumer shall
41 render with each sale itemized invoices showing the seller's name and ad-
42 dress, the purchaser's name and address, the date of sale, and all prices and
43 discounts. He shall preserve legible copies of all such invoices for five
44 (5) years from the date of sale.

45 SECTION 32. That Section 63-2557, Idaho Code, be, and the same is hereby
46 amended to read as follows:

1 63-2557. INVOICES OF PURCHASES TO BE PROCURED BY RETAILER, SUBJOBBER
 2 -- PRESERVATION -- INSPECTION. Every retailer and subjobber shall procure
 3 itemized invoices of all tobacco products, alternative nicotine products,
 4 and vapor products purchased. The invoices shall show the name and address
 5 of the seller and the date of purchase. The retailer and subjobber shall pre-
 6 serve a legible copy of each such invoice for five (5) years from the date of
 7 purchase. Invoices shall be available for inspection by the commission or
 8 its authorized agents or employees at the retailer's or subjobber's place of
 9 business.

10 SECTION 33. That Section 63-2558, Idaho Code, be, and the same is hereby
 11 amended to read as follows:

12 63-2558. RECORDS OF SHIPMENTS, DELIVERIES FROM PUBLIC WAREHOUSE OF
 13 FIRST DESTINATION -- PRESERVATION -- INSPECTION. Records of all deliveries
 14 or shipments of tobacco products, alternative nicotine products, or vapor
 15 products from any public warehouse of first destination in this state shall
 16 be kept by the warehouse and be available to the commission for inspection.
 17 They shall show the name and address of the consignee, the date, the quan-
 18 tity of tobacco products, alternative nicotine products, and vapor products
 19 delivered, and such other information as the commission may require. These
 20 records shall be preserved for five (5) years from the date of delivery of the
 21 tobacco products, alternative nicotine products, or vapor products.

22 SECTION 34. That Section 63-2559, Idaho Code, be, and the same is hereby
 23 amended to read as follows:

24 63-2559. WHEN CREDIT MAY BE OBTAINED FOR TAX PAID. (1) Where tobacco
 25 products, alternative nicotine products, or vapor products upon which
 26 the ~~tax~~ taxes imposed by this chapter ~~has~~ have been reported and paid, are
 27 shipped or transported by the distributor to distributors or retailers
 28 outside the state, to be sold by those distributors or retailers, or are
 29 returned to the manufacturer by the distributor or destroyed by the distrib-
 30 utor, credit of such ~~tax~~ taxes may be made to the distributor in accordance
 31 with rules prescribed by the commission.

32 (2) Taxes paid on tobacco products, alternative nicotine products, or
 33 vapor products sold on or after January 1, 2000, on accounts later found to be
 34 worthless and actually charged-off may be credited upon a subsequent payment
 35 of the ~~tax~~ taxes on tobacco products, alternative nicotine products, and va-
 36 por products or, if no such ~~tax is~~ taxes are due, refunded. If all or part
 37 of such an account is thereafter collected, the ~~tax~~ taxes shall be paid based
 38 upon the proportion of the amount collected.

39 SECTION 35. That Section 63-2563, Idaho Code, be, and the same is hereby
 40 amended to read as follows:

41 63-2563. COLLECTION AND ENFORCEMENT. The collection and enforcement
 42 procedures provided by the Idaho income tax act, sections 63-3038, 63-3039,
 43 63-3040, 63-3042 through 63-3045B, 63-3047 through 63-3065A, 63-3068,
 44 63-3071, 63-3075 and 63-3078, Idaho Code, shall apply and be available to
 45 the state tax commission for the enforcement of this act and collection of

1 any amounts due under this act and said sections shall, for this purpose,
 2 be considered part of this act and wherever liens or any other proceedings
 3 are defined as income tax liens or proceedings, they shall, when applied in
 4 enforcement or collection under this act, be described as tobacco products,
 5 alternative nicotine products, and vapor products tax liens and proceed-
 6 ings. Any reference to taxable year in the income tax act shall be, for the
 7 purposes of this act, considered a taxable period.

8 The state tax commission may be made a party defendant in an action at
 9 law or in equity by any person aggrieved by the unlawful seizure or sale of
 10 his property, or in any suit for refund or to recover an overpayment, but
 11 only the state of Idaho shall be responsible for any final judgment secured
 12 against the state tax commission, and said judgment shall be paid or satis-
 13 fied out of the tobacco products, alternative nicotine products, and vapor
 14 products tax refund fund.

15 SECTION 36. That Section 63-2565, Idaho Code, be, and the same is hereby
 16 amended to read as follows:

17 63-2565. REFUNDS, LIMITATIONS, INTEREST. (a) Where there has been an
 18 overpayment of any tobacco products, alternative nicotine products, and va-
 19 por products tax imposed by this act, the amount of such overpayment shall be
 20 credited against any tobacco products, alternative nicotine products, and
 21 vapor products tax then due from the taxpayer, and any balance of such excess
 22 shall be refunded to the taxpayer.

23 (b) The state tax commission is authorized and the state board of tax
 24 appeals is authorized to order the tax commission in proper cases to credit
 25 or remit, refund, and pay back all taxes and penalties erroneously or ille-
 26 gally assessed or collected, regardless of whether the same have been paid
 27 under protest, which claims for refund shall be certified to the state board
 28 of examiners by the state tax commission.

29 (c) No such credit or refund of taxes, penalties or interest paid, shall
 30 be allowed or made after three (3) years from the time the return was filed,
 31 unless before the expiration of such period a claim therefor is filed by the
 32 taxpayer with the commission.

33 (d) Interest shall be allowed on the amount of such credits or refunds
 34 at the rate provided in section 63-3045, Idaho Code, from the date such tax
 35 was paid.

36 (e) Appeal of a tax commission decision denying in whole or part a claim
 37 for refund shall be made in accordance with and within the time limits pre-
 38 scribed in section 63-3049, Idaho Code.

39 SECTION 37. An emergency existing therefor, which emergency is hereby
 40 declared to exist, this act shall be in full force and effect on and after
 41 July 1, 2026.